

SUPREME COURT · JUDGMENT DIGEST

Paschimanchal Vidyut Vitran Nigam Ltd. v. Raman Ispat Private Limited & Ors.

Civil Appeal No. 7976 of 2019 | 2023 INSC 625 | Supreme Court of India | Pronounced 17 July 2023

COURT	Supreme Court of India (Civil Appellate Jurisdiction)
CORAM	Hon'ble Mr. Justice S. Ravindra Bhat & Hon'ble Mr. Justice Dipankar Datta
DATE OF JUDGMENT	17 July 2023 (Pronounced; digitally signed 2023.07.17)
NATURE OF PROCEEDING	Civil Appeal against order of National Company Law Appellate Tribunal (NCLAT) dated 15.05.2019, which rejected PVVNL's appeal against an order of National Company Law Tribunal (NCLT) dated 21.08.2018 directing release of attached property for liquidation sale under the Insolvency and Bankruptcy Code, 2016
PARTIES	Paschimanchal Vidyut Vitran Nigam Limited (PVVNL), a Government-owned electricity distribution licensee in Uttar Pradesh (appellant) v. Raman Ispat Private Limited, the corporate debtor (respondent), and the liquidator
PROVISIONS	Sections 173, 174, 42, 45, 56 of Electricity Act, 2003; Clauses 4.3(f)(iv) and 6.15 of U.P. Electricity Supply Code, 2005; Sections 3(30), 3(31), 3(34), 14, 30, 31, 33, 35, 36, 39, 40, 52, 53, 238 of Insolvency and Bankruptcy Code, 2016; Sections 77, 78, 326, 327 of Companies Act, 2013; Section 48, Transfer of Property Act, 1882; Sections 26E, SARFAESI Act, 2002 and 31B, RDDBFI Act, 1993; General Clauses Act, 1897; Bankruptcy Law Reforms Committee Report, 2015 (preamble and waterfall design)
RESULT	Civil Appeal dismissed. The liquidator is directed to decide PVVNL's claim in the manner required by law and to complete the process within 10 weeks from the date of pronouncement, after providing necessary opportunity. No order on costs. PVVNL's electricity dues are recoverable as secured creditor dues within the Section 53 IBC waterfall mechanism, not as government dues outside the waterfall.

POINT FOR DETERMINATION

- Whether Sections 173 and 174 of the Electricity Act, 2003 (with their non-obstante clauses) override the Insolvency and Bankruptcy Code, 2016, particularly Section 238 and the waterfall mechanism under Section 53, permitting a distribution licensee to recover electricity dues independently of the liquidation process.
- Whether a distribution licensee (PVVNL), a Government-owned statutory corporation, qualifies as a 'secured creditor' under the IBC, or whether its dues fall within the definition of 'government dues' under Section 53(1)(e) and thus rank lower in the priority waterfall.
- Whether the special recovery mechanism prescribed under Sections 42, 45, 56 of the Electricity Act, 2003 and Clauses 4.3(f)(iv) and 6.15 of the U.P. Electricity Supply Code, 2005 can operate outside and independently of

the IBC liquidation process.

4. How the judgment of this Court in *State Tax Officer v. Rainbow Papers Ltd.* (concerning tax dues as secured creditor claims) applies to electricity dues in the context of the liquidation waterfall under Section 53.
5. Whether dues payable to a Government-owned entity (PVVNL) that constitute ‘secured interests’ in the assets of the corporate debtor should be treated as ‘government dues’ within the meaning of Section 53(1)(e) or as secured creditor dues under the waterfall mechanism.

FACTS

The appellant PVVNL and respondent Raman Ispat (a steel manufacturing company) entered into an electricity supply agreement on 11.02.2010, containing Clause 5 that outstanding dues would constitute a charge on the company’s assets and must be cleared before any sale, or the sale deed must specify the outstanding dues and method of payment.

PVVNL raised bills from time to time for electricity supply; the dues remained unpaid. By Order 1048 dated 12.01.2016, PVVNL attached the corporate debtor’s immovable properties at Khasara No. 0.4710 in Muzaffarnagar, following which the Tehsildar, Muzaffarnagar, by Order 1423F dated 23.01.2016, restrained transfer of the property and created a charge thereon.

Under a final bill dated 27.01.2017, the total arrears due were Rs. 4,32,33,883/-. The District Collector issued a notice for recovery of outstanding dues amounting to Rs. 2,50,14,080/- by auction of the immovable properties, with auction scheduled for 05.03.2018.

The corporate debtor initially underwent a corporate insolvency resolution process under the IBC, 2016, but the resolution failed. It therefore became subject to liquidation. The liquidator took the position that the attachment orders of the District Collector and Tehsildar hindered sale of property and that PVVNL’s claim would be classified in order of priority prescribed under Section 53 of the IBC, with pro rata distribution to PVVNL as a secured creditor.

The NCLT and NCLAT ordered release of the attached property to the liquidator for sale, with proceeds to be distributed under Section 53 waterfall mechanism. PVVNL appealed on the ground that its dues had priority under the Electricity Act, 2003, and were not subject to the IBC waterfall, citing *Board of Trustees v. Port of Mumbai* and *Rainbow Papers*.

REASONING OF THE COURT

HEADNOTE

The Electricity Act, 2003 and the Insolvency and Bankruptcy Code, 2016 are both comprehensive statutes in their respective spheres. Where the IBC applies following insolvency or liquidation, Section 238 gives the IBC overriding effect over other enactments, including the Electricity Act. A distribution licensee owned by the Government is a distinct juristic entity whose dues, though secured by statute or contract, are not ‘government dues’ within Section 53(1)(e) of the IBC. The reference to “government dues” in the waterfall mechanism is confined to amounts payable to the Central Government or State Government or into their Consolidated Funds, not to dues of statutory corporations with separate legal identity. The judgment in *State Tax Officer v. Rainbow Papers Ltd.* (concerning tax dues as secured creditor claims) is confined to the facts of that case and did not address the waterfall mechanism or the distinction between secured creditor dues and government dues. Electricity dues of a distribution licensee are recoverable as secured creditor dues within the liquidation waterfall under Section 53, not independently or outside the IBC process.

The IBC enacted a new regime for commercial insolvency with unifying objectives. The IBC was enacted to consolidate and unify the legal regime on commercial insolvency, with specific emphasis on time-bound resolution and maximization of asset value. Upon a corporate debtor's default in repayment of debt crossing the statutory threshold, insolvency resolution can be triggered by the corporate debtor itself or by financial or operational creditors (Sections 4, 6, 7, 8). The IBC makes a critical distinction between financial creditors (defined in Section 5(7) as those to whom financial debt is owed — debt disbursed against consideration for time value of money) and operational creditors (those to whom operational debt is owed — claims for provision of goods or services under Section 5(21)). Speedy resolution forms the mainstay: the resolution process must be completed within 180 days from admission, extendable by the Committee of Creditors for up to 90 days (Section 12). Upon failure of resolution or non-receipt of a plan, the corporate debtor enters liquidation under Section 33, at which stage the liquidator is appointed to manage affairs, verify claims, and sell assets for distribution. ¶ 19–23

The waterfall mechanism in Section 53 establishes a hierarchical priority among all creditors. Section 53 of the IBC enacts the 'waterfall mechanism' establishing the order in which proceeds from sale of liquidation assets are distributed. The hierarchy places: (1) insolvency resolution process costs and liquidation costs (paid in full); (2) workmen's dues for 24 months preceding liquidation and debts owed to secured creditors who relinquish security (ranking equally); (3) wages and unpaid dues to employees other than workmen for 12 months preceding liquidation; (4) financial debts owed to unsecured creditors; (5) government dues (Central/State Government or their Consolidated Funds) and debts of secured creditors for unpaid amounts following enforcement of security (ranking equally); (6) remaining debts and dues; (7) preference shareholders; and (8) equity shareholders. This hierarchy was carefully designed by the Bankruptcy Law Reforms Committee to promote value maximization and credit availability by according lower priority to government dues, contrary to historical practice. The Preamble to the IBC expressly recognizes the shift in priority of government dues. ¶ 26–32

A secured creditor has two options in liquidation: relinquish security and receive higher priority, or realise security and receive lower priority for unpaid amounts. Section 52 grants secured creditors an option: either relinquish their security interest and receive proceeds from liquidation sale in the manner specified in Section 53 (whereupon they rank high in the waterfall), or proceed to realise (enforce) the security interest. If the secured creditor chooses enforcement, the liquidator must first verify the existence of the security interest from records of an information utility or such other means as prescribed (Section 52(3)). The secured creditor may then proceed to enforce under Section 52(4), and any excess recovered must be tendered to the liquidator under Section 52(7). If enforcement yields insufficient proceeds to repay the secured creditor's entire debt, the unpaid balance is classified under Section 53(1)(e) and ranks lower in priority. The procedure takes a nuanced approach: those who relinquish security receive high priority; those who seek to enforce may do so, subject to liquidator verification; in case of shortfall they rank lower. This reflects Parliament's design that secured creditors who stand out to enforce are presumed to recover most of their dues by enforcement outside the liquidation, and thus those with shortfalls rank lower in priority for distribution. ¶ 33–36

Section 238 of the IBC grants overriding effect to its provisions over other laws. Section 238 of the IBC states that the IBC shall have overriding effect "notwithstanding anything to the contrary contained in any other law." This provision has been consistently applied to override provisions of other special statutes, including the Customs Act, 1962 (in *Sundaresh Bhatt v. Central Board of Indirect Taxes*), the Tea Act, 1953 (in *Duncans Industries Ltd. v. AJ Agrochem*), and others. The Supreme Court has held that Section 238 grants primacy to the IBC over all other enactments, including those containing their own non-obstante clauses. Although Sections 173 and 174 of the Electricity Act, 2003 contain non-obstante clauses, they cannot override the IBC by virtue of Section 238, which is a later, more recent enactment dealing with the comprehensive subject of commercial insolvency. ¶ 52

A Government-owned distribution licensee is a distinct juristic entity, not the ‘State Government’ or ‘Government’ for purposes of Section 53(1)(e). PVVNL, though Government-owned, is a distinct juristic entity with separate legal status from the State Government of Uttar Pradesh. The General Clauses Act, 1897 defines ‘Central Government’ (Section 3(8)) and ‘State Government’ (Section 3(60)) with specific reference to constitutional entities, and the distinction between these entities and Government-owned corporations has been consistently maintained by the Court. In *Shrikant v. Vasantrao & Ors.*, the Court held that while a corporation may be ‘State’ under Article 12 of the Constitution for limited purposes, its distinct entity for other purposes is always maintained and fact-dependent. In *Municipal Commissioner of Dum Dum Municipality & Ors. v. Indian Tourism Development Corporation & Ors.*, the Court noted that statutory corporations created to undertake activities previously conducted by governments are distinct juristic entities owning their own properties and funds, and are not merely extensions of government. PVVNL’s functions can be replicated by private entities; the 2003 Act permits private participation in electricity distribution. For these reasons, dues payable to PVVNL do not fall within the description ‘amounts due to Central Government or State Government’ in Section 53(1)(e). ¶ 44–47

The judgment in Rainbow Papers is confined to the facts of that case and is inapplicable to liquidation proceedings. In *State Tax Officer v. Rainbow Papers Ltd.*, this Court held that a State, by virtue of Section 48 of the Gujarat Value Added Tax Act, 2003 (creating a first charge for tax dues), qualified as a ‘secured creditor’ under the IBC. However, Rainbow Papers did not address or extract the waterfall mechanism under Section 53 of the IBC. Furthermore, Rainbow Papers concerned a resolution process, not liquidation. Section 53 prescribes the hierarchy for distribution in liquidation and places amounts payable to secured creditors at the second level (for those who relinquish security) and fifth level (for those who enforce and have unpaid balances), whereas government dues are placed at the fifth level equally with secured creditors who enforce. This careful design was either not brought to the Court’s notice in Rainbow Papers or was overlooked. The judgment has not taken note of the IBC provisions treating secured creditor dues at a higher footing than government dues. Moreover, the separate and distinct treatment of secured creditor amounts (Clauses (b) and (e)) on the one hand and government dues on the other in Section 53 clearly signifies Parliament’s intention to treat them differently. Applying the principle that when an enactment uses two different expressions they cannot be construed as having the same meaning (per Member, Board of Revenue v. Anthony Paul Benthall and Brihan Mumbai Mahanagarpalika & Anr. v. Willington Sports Club), the judgment in Rainbow Papers must be confined to the facts of that case alone and cannot be extended to preclude the application of the Section 53 waterfall mechanism. ¶ 48–53

The clause in the electricity supply agreement creating a charge on assets satisfies the statutory requirement for a ‘security interest’ under the IBC. Clause 5 of the agreement dated 11.02.2010 stated that “The outstanding dues will be a charge on the assets of the company” and that before sale, the outstanding dues will be cleared or the sale deed will specify the dues and payment method. This clause accords with Clause 4.3(f)(iv) of the U.P. Electricity Supply Code, 2005, which prescribes that outstanding dues will be a first charge on the company’s assets. In *K.C. Ninan v. Kerala State Electricity Board* (2023), this Court held that a charge on assets need not be based solely on an express provision of the Electricity Act, 2003, but can be created by properly framed regulations authorized under the parent statute. The agreement and the Supply Code together create a statutory charge in favour of PVVNL. The NCLT and NCLAT both accepted this position and found that PVVNL comes within the definition of ‘secured operational creditor.’ The conclusion that PVVNL is a secured creditor cannot be disputed. ¶ 43

INTERPRETATION OF THE ELECTRICITY STATUTES

INSOLVENCY AND BANKRUPTCY CODE, 2016; ELECTRICITY ACT, 2003; PRIORITY AND CLASSIFICATION OF CREDITORS

Section 53(1)(e) of the Insolvency and Bankruptcy Code, 2016 — ‘Government Dues’ are distinct from Secured Creditor Dues

Section 53(1)(e) places in the fifth tier of the waterfall ‘any amount due to the Central Government and the State Government including the amount to be received on account of the Consolidated Fund of India and the Consolidated Fund of a State, if any, in respect of the whole or any part of the period of two years preceding the liquidation commencement date’ and ‘debts owed to a secured creditor for any amount unpaid following the enforcement of security interest.’ This clause uses distinct terminology: “Central Government” and “State Government” refer to entities as defined in the General Clauses Act, 1897, and amounts payable “to” these governments or into their “Consolidated Funds.” The separate enumeration of government dues apart from secured creditor dues signifies Parliament’s intent to treat them as distinct classes. A distribution licensee, even if Government-owned, is a distinct juristic entity whose dues are not encompassed within this description unless the dues are payable to the government itself or into its Consolidated Fund. Dues payable to statutory corporations with distinct legal identity that do not amount to taxes or levies payable into government treasuries are not ‘government dues’ for purposes of this clause.

¶ 44–47

Section 238 of the Insolvency and Bankruptcy Code, 2016 — Overriding Effect

Section 238 grants the IBC overriding effect “notwithstanding anything to the contrary contained in any law enacted by the Parliament or any State Legislature.” This provision applies even where other enactments contain their own non-obstante clauses. In *Sundaresh Bhatt v. Central Board of Indirect Taxes and Customs*, this Court held that once moratorium is imposed under Section 14 or 33(5) of the IBC, other authorities (such as Customs) have only limited jurisdiction to assess and determine quantum, but no power to initiate recovery by means of sale or confiscation outside the IBC process. In *Duncans Industries Ltd. v. AJ Agrochem*, the Tea Act, 1953 (which required prior Central Government consent for winding up) was held to be overridden by the IBC. Although Sections 173 and 174 of the Electricity Act, 2003 contain non-obstante clauses, they cannot override the IBC, which is a later, comprehensive enactment on commercial insolvency. Once a liquidation order is passed under the IBC, the distribution of proceeds must follow the Section 53 waterfall mechanism; no creditor, however special its statutory position under another law, can recover independently of that mechanism. ¶ 52

Secured Creditors under the IBC — Definition and Treatment in Liquidation Waterfall

Section 3(30) of the IBC defines a ‘secured creditor’ as “a creditor in favour of whom security interest is created.” ‘Security interest’ is defined broadly in Section 3(31) as “right, title or interest or a claim in a property, created in favour of, or provided for a secured creditor by a transaction which secures payment or performance of an obligation, and includes mortgage, charge, hypothecation, assignment and encumbrance or any other agreement or arrangement securing payment or performance of any obligation.” A distribution licensee whose supply agreement includes a clause that electricity dues constitute a ‘charge’ on the assets of the consumer (as is common under electricity supply codes), and which is reinforced by regulations framed under Section 50 of the Electricity Act, 2003, creates a ‘security interest’ within this definition. A secured creditor qualifies for protection under the waterfall mechanism: if it relinquishes its security, its dues rank at the second tier (Section 53(1)(b)); if it seeks to enforce its security, any unpaid balance ranks at the fifth tier (Section 53(1)(e)(ii)). ¶ 43, 52

Statutory Interpretation — Different words or expressions in a statute cannot be construed as having the same meaning

When an enactment uses two words or expressions of different import in consecutive or proximate provisions, they cannot be construed as having the same meaning. In *Member, Board of Revenue v. Anthony Paul Benthall*, it was held: “When two words of different import are used in a statute, in two consecutive provisions, it would be difficult to maintain that they are used in the same sense.” This principle has been affirmed in *Brihan Mumbai Mahanagarpalika & Anr. v. Willington Sports Club*. Applying this principle to Section 53 of the IBC, the use of distinct terminology in different clauses — “Central Government and State Government” (Clause (e)) *versus* “secured creditor” (Clauses (b) and (e)) — indicates Parliament’s intent to distinguish them. *Rainbow Papers*, which treated a government entity as a ‘secured creditor’ for purposes of a resolution plan, cannot be extended beyond its facts to override the distinct language of the liquidation waterfall. ¶ 51

RATIO DECIDENDI

The appeal fails. The Insolvency and Bankruptcy Code, 2016 establishes a comprehensive statutory framework for insolvency and liquidation that overrides other statutes by virtue of Section 238, including the Electricity Act, 2003. A distribution licensee, though Government-owned and holding a statutory security interest in the assets of electricity consumers, is a distinct juristic entity whose dues do not fall within ‘government dues’ defined in Section 53(1)(e) of the IBC. The dues of a distribution licensee qualify as secured creditor dues and must be recovered through the liquidation waterfall mechanism prescribed in Section 53, not independently or outside the IBC liquidation process. The judgment in *State Tax Officer v. Rainbow Papers Ltd.*, which held that a government entity could be a ‘secured creditor’ in a resolution process, is confined to the facts of that case and did not address the liquidation waterfall; it cannot extend to permit recovery of electricity dues outside the Section 53 mechanism or to place such dues at a priority higher than the waterfall prescribes. The liquidator is directed to verify and decide PVVNL’s claim as a secured creditor within the Section 53 waterfall framework. ¶ 57

ALSO HELD & OBITER

- **The Bankruptcy Law Reforms Committee Report demonstrates Parliament’s deliberate choice to lower government dues in priority.** The Bankruptcy Law Reforms Committee Report, 2015 (which preceded the IBC) explicitly stated the Committee’s recommendation to place the right of Central and State Government ‘in the distribution waterfall in liquidation at a priority below the unsecured financial creditors in addition to all kinds of secured creditors for promoting the availability of credit and developing a market for unsecured financing.’ The Report stated this would “increase the availability of finance, reduce the cost of capital, promote entrepreneurship and lead to faster economic growth” and noted that “The government also will be the beneficiary of this process as economic growth will increase revenues.” This deliberate downward adjustment of government priority was a strategic choice to promote credit availability and economic efficiency, not an oversight. “The guiding principle for the Code in setting the priority of payments in liquidation was to bring the practices in India in line with global practices.” ¶ 29, 37
- **Statutory corporations with distinct legal identity are not extensions of government for purposes of Section 53.** The establishment of statutory corporations and distribution companies to undertake electricity supply functions previously conducted by government boards and departments does not erase their distinct juristic status. In *Municipal Commissioner of Dum Dum Municipality & Ors. v. Indian Tourism Development Corporation & Ors.*, the Court noted that such corporations “own their own properties, having their own fund, capable of borrowing and lending monies and entering into contracts like any other corporation,” and that “In many cases, the entire share capital of these corporations is owned by the Government whether Central or State.” Despite

government ownership, they are “distinct juristic entities” and are “not merely extensions of government.” Moreover, under the Electricity Act, 2003, private participation in distribution of electricity is permitted, demonstrating that the function of electricity distribution is not inherently governmental. For these reasons, dues payable to a distribution licensee are not ‘government dues.’ ¶ 45–47

DISPOSITION

For the above reasons, the Civil Appeal is **dismissed**. At the same time, the liquidator is directed to decide the claim exercised by PVVNL in the manner required by law. The liquidator shall complete this process within 10 weeks from the date of pronouncement of this decision, after providing such opportunity to the appellant (PVVNL) as is necessary under law. No order on costs.

SIGNIFICANCE

A judgment establishing the supremacy of the IBC waterfall mechanism over special statutory recovery regimes, and clarifying that government-owned but juristically distinct entities are not ‘government’ for purposes of priority in liquidation. Six principal holdings:

- **The IBC Section 238 overrides special statutory provisions, even those with non-obstante clauses.** The Insolvency and Bankruptcy Code achieves supremacy over other enactments through Section 238, including statutes like the Electricity Act, 2003 that contain their own non-obstante clauses. This overrides earlier Court decisions (such as Board of Trustees v. Port of Mumbai) that read special statutes as having primacy over insolvency regimes. Once an IBC liquidation order is passed, no creditor — however favourably positioned under another statute — can escape the Section 53 waterfall mechanism.
- **Government ownership does not make dues ‘government dues’ for Section 53 purposes.** A distribution company owned by the State Government is a distinct juristic entity under the Companies Act, with separate assets, liabilities, and contracting capacity. Dues payable to it are not ‘government dues’ within Section 53(1)(e), which refers specifically to amounts payable to the Central Government or State Government or their Consolidated Funds. This distinction reflects Parliament’s deliberate choice to accord lower priority to true government dues while protecting creditors of government-owned commercial entities as ordinary creditors (financial, operational, or secured depending on the transaction type).
- **Statutory charges in electricity supply agreements create ‘security interests’ under the IBC.** Clauses in electricity supply agreements (whether derived from the Electricity Act, 2003 or framed regulations) that declare electricity dues to be a ‘charge’ on consumer assets create ‘security interests’ within the IBC definition. Distribution licensees therefore qualify as ‘secured creditors’ and receive the protections (and limitations) that the waterfall mechanism provides to secured creditors, not the lower-tier treatment of government dues.
- **Rainbow Papers is confined to its facts and does not govern liquidation proceedings.** The Supreme Court’s judgment in Rainbow Papers, treating a government entity as a ‘secured creditor’ for claim purposes in a resolution process, did not address the comprehensive waterfall mechanism of Section 53 and does not extend to liquidation proceedings where the waterfall controls. Courts must be cautious about extending judgment holdings beyond the statutory context and fact-pattern the Court addressed.
- **Statutory interpretation: different words in different clauses signify different meanings.** When Section 53 uses “Central Government and State Government” in Clause (e) to designate government dues, and uses “secured creditor” in Clauses (b) and (e) to designate other creditors with security interests, the different terminology reflects Parliament’s intent to treat them as distinct classes in liquidation priority. This principle, established in

Member, Board of Revenue v. Anthony Paul Benthall and Brihan Mumbai Mahanagarpalika, prevents elision of the statutory categories.

- **The waterfall mechanism reflects global best practice and strategic economic policy.** Parliament’s deliberate placement of government dues below unsecured creditors in the liquidation hierarchy, as evidenced by the Bankruptcy Law Reforms Committee Report and the IBC Preamble, reflects a strategic choice to promote credit availability, encourage private investment, and align India with global insolvency practice. Courts should not disrupt this carefully calibrated balance through broad readings of other statutes.

TABLE OF AUTHORITIES

Authorities discussed in the judgment, with the treatment each received and how it was used to resolve the issues. ‘Applied,’ ‘Distinguished,’ ‘Confined,’ and ‘Cited’ reflect the Court’s characterisation.

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>State Tax Officer v. Rainbow Papers Ltd.</i> 2022 (13) SCR 808 · Supreme Court of India	Held that a State, by virtue of Section 48 of the Gujarat Value Added Tax Act, 2003 (which creates a ‘first charge’ on property for tax dues), qualifies as a ‘secured creditor’ under the IBC; that security interests can be created by operation of law; and that the IBC definition of secured creditor does not exclude government or governmental authorities.	PVVNL relied on Rainbow Papers to argue that, like the State in that case, it should be treated as a secured creditor outside the Section 53 waterfall. The Court distinguished it: Rainbow Papers concerned a resolution process (not liquidation), did not address or extract the waterfall mechanism, and did not take note of the provisions treating secured creditor dues at higher priority than government dues within Section 53. The Court confined Rainbow Papers to the facts of that case and held it inapplicable to liquidation proceedings. (¶48–53)	Distinguished and confined to facts

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Board of Trustees, Port of Mumbai v. Indian Oil Corporation</i> 1998 (2) SCR 774 · Supreme Court of India	Held that port dues under the Major Port Trust Act, 1963 override all other claims, including those of secured creditors in liquidation proceedings.	Relied on by PVVNL's counsel for the analogy that electricity dues, like port dues under the Major Port Trusts Act, 1963, override competing claims and may be recovered outside the liquidation waterfall. The Court did not separately analyse this decision; the argument did not prevail, the Bench holding that Section 238 gives the IBC overriding effect and Section 53 governs distribution. (¶ 7)	Cited by appellant
<i>K.C. Ninan v. Kerala State Electricity Board</i> 2023 SCC Online SC 603 · Supreme Court of India	Held that a charge on assets securing electricity dues need not rest on an express provision of the Electricity Act, 2003 but can be created by properly framed regulations authorized under the parent statute; and that such a charge can be invoked to prevent transfer of assets by a subsequent purchaser.	The Court cited this judgment to support its finding that PVVNL's charge on the corporate debtor's assets — created by Clause 5 of the agreement and Clause 4.3(f)(iv) of the U.P. Electricity Supply Code, 2005 — constitutes a valid 'security interest' under the IBC definition. This supports PVVNL's status as a secured creditor, though subject to the Section 53 waterfall. (¶43)	Applied
<i>Shrikant v. Vasantrao & Ors.</i> 2006 (1) SCR 496 · Supreme Court of India	Held that while a corporation may be deemed 'State' under Article 12 of the Constitution for limited purposes, its distinct legal entity for other purposes is always maintained and is fact-dependent; the definition of 'State Government' in ordinary sense does not encompass local or statutory authorities.	The Court quoted this judgment to establish that PVVNL, though a Government-owned corporation, has a distinct legal identity separate from the State Government of Uttar Pradesh. This principle underlies the conclusion that dues payable to PVVNL are not 'government dues' within Section 53(1)(e). (¶44)	Applied

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Municipal Commissioner of Dum Dum Municipality & Ors. v. Indian Tourism Development Corporation & Ors.</i> 1995 (5) SCC 251 · Supreme Court of India	Held that statutory corporations and companies created to undertake activities previously conducted by government are distinct juristic entities owning their own properties and funds, capable of borrowing, lending, and contracting; they are not mere extensions of government even where the entire share capital is government-owned.	The Court extensively quoted this judgment to establish that distribution companies like PVVNL, though Government-owned, are distinct legal entities with their own assets and liabilities, and are not to be treated as governmental entities for statutory purposes. This supports the position that dues payable to PVVNL are not ‘government dues.’ (¶45)	Applied
<i>Member, Board of Revenue v. Anthony Paul Benthall</i> (1955) 2 SCR 842 · Supreme Court of India	Established the principle of statutory interpretation that when two words or expressions of different import are used in consecutive provisions of a statute, they cannot be construed as having the same meaning.	The Court applied this principle to interpret Section 53 of the IBC: the use of distinct terminology (‘Central Government and State Government’ in Clause (e) versus ‘secured creditor’ in Clauses (b) and (e)) indicates Parliament’s intent to treat government dues and secured creditor dues as distinct classes in liquidation priority, and thus Rainbow Papers cannot be extended to place electricity dues outside the waterfall. (¶51)	Applied
<i>Brihan Mumbai Mahanagarpalika & Anr. v. Willington Sports Club & Ors.</i> (2013) (16) SCR 216 · Supreme Court of India	Affirmed the principle that different words or expressions in a statute bear different meanings and cannot be treated as synonymous.	Cited in support of the statutory interpretation principle used to distinguish between ‘government dues’ and ‘secured creditor dues’ in Section 53, demonstrating Parliament’s deliberate differentiation. (¶51)	Applied

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Sundaresh Bhatt, Liquidator of ABG Shipyard v. Central Board of Indirect Taxes and Customs</i> 2022 SCC Online SC 1101 · Supreme Court of India	Held that Section 238 of the IBC grants overriding effect to IBC provisions over the Customs Act, 1962; once moratorium is imposed, customs authorities have limited jurisdiction to assess but no power to initiate recovery by means of sale or confiscation; dues must be submitted as claims within the IBC process.	The Court cited this judgment as establishing that Section 238 of the IBC overrides special statutory provisions, even those in commercial statutes. By analogy, the Electricity Act, 2003 (with its non-obstante clauses) cannot override the IBC; electricity dues must be recovered through the Section 53 waterfall, not independently. (¶52)	Applied
<i>Duncans Industries Ltd. v. AJ Agrochem</i> (2019) 9 SCC 725 · Supreme Court of India	Held that Section 16G of the Tea Act, 1953 (requiring prior Central Government consent for initiation of winding up) is overridden by the IBC, Section 238.	Cited to illustrate that Section 238 of the IBC overrides other statutes even where they have their own statutory requirements and procedural frameworks. Similarly, Sections 173 and 174 of the Electricity Act cannot override the IBC liquidation framework. (¶52)	Applied
<i>Innoventive Industries Ltd. v. ICICI Bank & Anr.</i> (2017) 8 SCR 33 · Supreme Court of India	Upheld the constitutionality and overriding nature of the IBC, emphasizing its comprehensive framework for commercial insolvency.	Cited within the line of authorities the Court relied on to affirm the overriding effect of the IBC under Section 238. (¶ 52)	Cited in support
<i>Swiss Ribbons (P) Ltd. v. Union of India</i> (2019) 4 SCC 17 · Supreme Court of India	Upheld the constitutionality of the IBC and the overriding effect of its provisions under Section 238.	Cited in support of the primacy and overriding effect of the IBC under Section 238. (¶ 18)	Cited in support

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>K. Shashidhar v. Indian Overseas Bank</i> 2019 (3) SCR 845 · Supreme Court of India	Held that the Adjudicating Authority is obligated to initiate liquidation process under Section 33(1) of the IBC and has no discretion or authority to analyse or evaluate the commercial decision of the Committee of Creditors.	The Court cited this to establish that upon occurrence of any eventuality specified under Section 33, liquidation must begin as a matter of course. This supports the mandatory nature of the Section 53 waterfall mechanism once liquidation is ordered. (¶22)	Applied
<i>Committee of Creditors of Essar Steel India Limited v. Satish Kumar Gupta & Ors.</i> 2019 (16) SCR 275 · Supreme Court of India	Held that the NCLT has no discretionary jurisdiction regarding initiation of liquidation proceedings; upon satisfaction of the conditions in Sections 30, 31, and 33(5) of the IBC, liquidation must follow.	Cited to reinforce that once a corporate debtor fails resolution and enters liquidation, the Section 53 waterfall is mandatory and not subject to discretion or alternative claims outside the IBC. (¶22)	Applied
<i>Moser Baer Karamchari Union thr. President Mahesh Chand Sharma v. Union of India & Ors</i> 2023 SCC OnLine SC 547 · Supreme Court of India	Provided extensive analysis of the waterfall mechanism in Section 53, the options available to secured creditors under Section 52, and the hierarchical structure designed by Parliament. Held that the waterfall is based on a ‘structured mathematical formula’ and that striking down or rearranging it would disrupt equilibrium; that the Code balances secured creditors’ interests with those of workmen and unsecured creditors; and that sacrifices are necessary for greater good, subject to the check that they are not manifestly arbitrary.	The Court extensively quoted this recent judgment as authority for the principle that the Section 53 waterfall mechanism is a carefully calibrated scheme that cannot be disrupted by allowing independent recovery outside the mechanism. The judgment emphasizes that every change in the waterfall would have cascading effects on all creditor classes. This directly supports the rejection of PVVNL’s claim to recover outside the waterfall. (¶37)	Extensively applied

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>CIT v. Monnet Ispat & Energy Ltd.</i> (2018) 18 SCC 786 · Supreme Court of India	Held that IBC provisions override other laws by virtue of Section 238.	Cited in a list of authorities establishing the overriding nature of the IBC (with reference to the Sundaresh Bhatt and Duncans Industries pattern). (¶52)	Cited in support
<i>Ghanashyam Mishra & Sons (P) Ltd. v. Edelweiss Asset Reconstruction Co. Ltd.</i> [2021] 13 SCR 737 · Supreme Court of India	Held that IBC provisions override other laws by virtue of Section 238.	Cited in a list of authorities establishing the overriding nature of the IBC. (¶52)	Cited in support
<i>Jagmohan Bajaj v. Shivam Fragrances Private Limited</i> 2018 SCC OnLine NCLAT 413 · NCLAT	Addressed issues of claim classification and creditor treatment in insolvency proceedings.	Cited as part of the pattern of authorities establishing the overriding nature and comprehensive scope of the IBC. (¶52)	Cited in support

This digest is a condensed reference prepared from the text of the judgment. It is not a substitute for the full judgment and should be verified against the original before use.